URBAN CYCLES

SUSTAINABLE TRANSPORTATION COMPANY

OUR TEAM

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INTRODUCTION

UrbanCycles is a sustainable transportation firm based in Vancouver that was established in 2021 with the goal of lowering the city's carbon footprint by using renewable energy to power environmentally friendly urban mobility solutions. Their current product lines include electric bikes, e-scooters, and hybrid-powered bikes.

URBANCYCLE'S MISSION STATEMENT

"Reducing the city's carbon footprint through eco-friendly urban mobility solutions powered by renewable energy."

OBJECTIVE

UrbanCycles is looking at expanding into Toronto and the GTA due to the great scope and opportunity. To ensure a successful launch into the Toronto market, we are constructing a comprehensive market entry plan.

PRODUCTS

Appendix A: Current Offerings

Type	Image
Electric Bike	
E-Scooter	

Product	Starting fee	Price per minute	Number of Units available	Hours allocated per vehicle
Electric Bike	$1.20	$0.40	120	12
E-Scooter	$1.50	$0.25	80	9

What UrbanCycle offers

- The UrbanCycle application (app) is very user-friendly and has an interactive user interface. This makes your commute sustainable, reliable and cost-effective
- The app shows the availability of mobility vehicles, the remaining battery percentage in each available device, the availability and location of the closest dock, and the ability to book the vehicle in advance during peak hours.
- The app includes helpful resources such as emergency lines in the case of an injury or accident and built-in interactive maps that suggest cycler-friendly safe routes.

Strategic Analysis Tools- SWOT

To implement and identify the best strategies, we would be conducting a SWOT Analysis.

SWOT Analysis - Helps to identify the internal strengths, weaknesses and external opportunities and threats faced by an organization.

Strengths

- Environmentally friendly
- Already established in Vancouver
- High reliability
- Solar power partnership
- Cost-friendly in the market for sustainable transport systems
- Recognition from local media and environmental organizations
- User-friendly mobile app
- Successfully targeted promotional campaign

Weaknesses

- It is a small firm/ emerging firm in the Toronto
- Expansion of renewable energy is expensive
- Less brand awareness
- Complexity and cost
- High customer acquisition cost

Opportunities

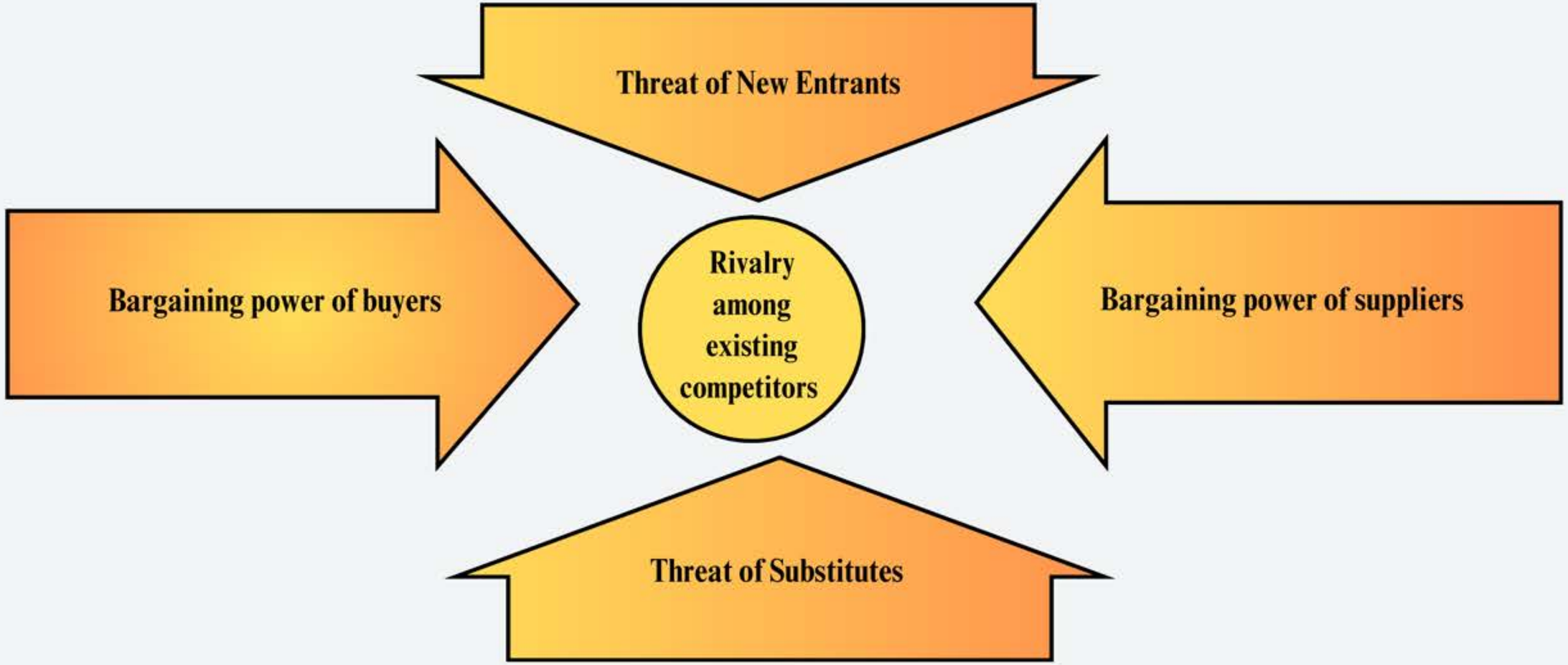
- Consumers shifting towards eco-friendly products
- Competitor issues - Expensive, unreliable and too heavy
- A large commuter population exists in Toronto and the GTA.

Threat

- Regulations such as city permits, vehicle permit.
- Existence of large competitors
- Fierce competition from national and international
- The potential ban on e-bikes by the TTC.
- Seasonal fluctuations could affect operations.

Porter's Five Forces

Evaluating Competitors through Porter's five forces model. (Tool used by new firms to identify the intensity of a market before entering)



THREAT OF NEW ENTRANTS

- Low threat of new entrants due to high infrastructure cost.
- High regulatory barriers, as there is a limit on the number of bikes that can be in the city of Toronto

RIVALRY AMONG EXISTING FIRMS

- Fierce competition from existing competitors in the market because they are already established and are significant. They produce the same kind of products. These large firms can exploit economies of scale and charge lower prices to gain an edge in the market.

BARGAINING POWER OF BUYERS

- Other competitors are offering the same service; therefore, the customers have many options to switch.
- Low switching cost as they could easily switch through a free app unless they have purchased a subscription and there is a specific amount of money in their account.
- Buyers can easily access information on alternative products

THREAT OF SUBSTITUTES

- There are other competitors; 3 large firms exist, such as Lime, Bike Share Toronto and Bird Canada, which offer the same product.
- Lime already has a well-established eco-friendly stance.

BARGAINING POWER OF SUPPLIERS

- High bargaining power since the product has many features, and when the firm that uses the service needs it customized, it gives the supplier more leverage.

Competitive Positioning and Differentiation: Unique selling points that differentiate Urban Cycles from existing services.

"Sustainable but reliable, bridging the gap between affordability and sustainability." UrbanCycles hopes to be the first 100% solar-powered micro mobile service provider in Toronto. The firm could offer services that are sustainable but reliable at an affordable cost. They should ensure reliability through net metering technology, in which excess electricity generated gets credited for future use, and when extra electricity is needed, it is usually accessible through the grid, which would be helpful during the harsh winter months. The firm could potentially partner with Solar Alliance Energy, which already has an extensive grid system in Toronto, which was a more economical option for the company. Reliability should be a USP for the firm because solar-powered bikes are known to have poor reliability. So, customers do not have to deal with low-battery bikes due to insufficient storage mechanisms in the docks, which could impact the rider's experience. Therefore, integrating Sustainability, reliability and cost makes UrbanCycle's products stand out.

"It's more about you." One of the primary goals of the firm should be to provide their customers with the best possible riding experience; hence, we have implemented an interactive map and personalized features on the app based on customer habits and preferences, such as saving time, taking the most scenic route, famous landmarks, leisure spots or safer routes after dark. Further, they could have built-in phone holders which will enable customers to use the map feature on the app during their rides.

Challenges and Mitigation Strategies: Operational challenges

1. **Seasonal Fluctuation** - Toronto experiences long and harsh winters, which typically last around five to six months; this can pose significant challenges for companies that focus on urban mobility solutions. It's important to note that the peak season for cycling in Toronto is spring and summer, with a substantial drop during the colder months. While research indicates that only about 20% of the demand seen in the summer could be carried over to winter. This could be due to a plethora of reasons, such as slippery roads, which are linked with safety, and the lack of sunlight, which leads to insufficient power for charging purposes. Another issue would be the solar panels getting covered on snowy days.

Solutions

- To mitigate the problem of slippery roads and safety issues brought about by such weather conditions, The firm could ensure customer safety by requesting their bike leasing company to use high-friction winter tyres to ensure that their customers are safe. Specifically, the firm should request reduced tyre pressure to increase tyre traction.

- To address the issue of lack of sunlight during the winter months, we have chosen to have our solar panels installed in a tilted angle so that the snow would melt and slide off easily, preventing the panel from being covered by snow. Further, we have maintenance staff who regularly monitor the docks and prevent snow coverage from obstructing the panels. Further, the city of Toronto employs a city crew to clear snow coverage on sidewalks when snow coverage is more than 2cm.

Challenges and Mitigation Strategies: Operational challenges

2. Cost management - There will be many costs associated with launching the firm's products into the Toronto market as there are very high set-up costs such as acquiring the bikes, setting up the docks, setting up an office in Toronto, acquiring the relevant licences needed, insurance coverage, and recruitment and wage costs. Another cost specific to the firm is the focus on renewable energy, and generally, the implementation of renewable energy technology tends to be very expensive.

Solutions

- To cover the problem of high start-up costs, the firm can choose to lease their bikes as they are still "testing the waters," this would enable the firm to gauge the demand without incurring a very high cost at once. Leasing would also allow the firm to adjust faster to changes in market conditions; for instance, since the demand for bikes falls by approximately 80% in the winter months, the firm could cut down on its idle capacity easily.
- Another solution to manage costs better might be to set up a small office, as spending too much on the office may not be required. It doesn't need to look aesthetic, as customers would not have the need to visit. Further, the firm could cut down on recruitment costs by deciding to outsource the maintenance staff during their initial stages, as it's easier to scale and manage.
- To manage the costs of using a renewable energy source such as solar, the firm could choose strategic partnerships with solar companies such as Solar Alliance Energy. This would help cut down on costs when integrating solar energy.

Challenges and Mitigation Strategies: Operational challenges

3. Competition- According to the information, the firm has three main competitors, namely, Bike Share Toronto, Bird Canada and Lime; these firms operate on a larger scale and are well-established in the market, which could potentially make it harder for a firm like UrbanCycles to enter the Toronto market. Further, the competitiveness of the market makes it very important that the firm stands out from the other firms to attract a strong customer base. According to the information provided, UrbanCycle has poor brand recognition and high customer acquisition due to its focus on sustainability and pricing.

Solutions

- To address this issue, the firm should invest in a well-rounded marketing campaign to create awareness, even before the launch, through influencer marketing and social media advertisements. Since the firm is focused on an environmentally conscious customer base, it should ensure that it reaches the right customers and knows the firm's ecological stances. Since using renewable energy can be more expensive than firms that use traditional energy sources, the firm should market its USP so that customers are willing to pay a higher price. Further, the firm could implement a rewards scheme where the customer receives insights on how their choice helps the environment (For example, emissions saving) and when they reach a certain level, the customer could be rewarded with a free ride.

Challenges and Mitigation Strategies: Operational challenges

4. Regulatory Challenges - There is a limited scale for e-scooter operations, as it might be difficult to adjust fleet size because their operations are near capacity. There is a need for regulatory approvals for e-scooters as cities are more open to e-bikes. Such approvals might take a while to get approved and might come with high costs.

Solution

- The firm could mitigate the delays by applying for licences and permits required well in advance.
- Further, since e-scooters have more regulations and bikes are preferred more, the firm could have fewer scooters in relation to bikes.

5. Damages and Theft - Since this is a self-operated transport mechanism, there is a high risk of damage and stolen/lost vehicles, which could be very costly. Further, if the firm leases their vehicles instead of purchasing them, the renter will fine the firm.

Solution

- To mitigate such costs, the firm could invest in a high-coverage insurance policy; further, when leasing, it is crucial that the firm ensures that the policies attached to damage and theft are well-defined.

MARKETING AND OUTREACH STARTEGIES

Urban Cycles is a firm that is focused on a niche market where consumers are environmentally conscious and are willing to pay a premium price for a product that is environmentally friendly. According to the information provided, the main groups that the firm focuses on are tourists, residents, and corporate clients. Therefore, the marketing strategy should be based on capturing such clients through the extensive production of our unique selling point. Our main goal through this marketing strategy is to come up with ways to attract customers who are committed to sustainability and generate sufficient sales. In addition, since the firm lacked brand awareness, the main goal is to create a strong brand image in the market and help create a loyal customer base.

The marketing mix would help identify UrbanCycles's marketing strategy;

The Marketing Mix (4ps)

1. **Product** - E-bikes and E- scooters that is 100% solar-powered
2. **Price** - Set based on our Vancouver operation and also through observing our three main competitors
3. **Place**- Locate the docks in strategic areas such as university residences, hotel lobbies, popular landmarks, near TTC stations - To attract a corporate customer base specifically, the firm could strategically place a few docks near the Union station as it is near the financial district.

4. Promotion

- **Influencer marketing**- targeting local influencers who are conscious of the environment. We would ensure that we target different kinds of local influencers that could attract tourists, residents, students, and corporations.

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- **Google search optimization:** This helps boost the firm's website and app, which could attract more potential customers and create brand awareness in the market. Customers are more likely to click on what appears at the top of a search results page.

- Posters at strategic locations such as the TTC, universities, and popular landmarks

- Offer free rides for first-time users for 30 minutes, as this would encourage them to sign up for the app and could also implement a referral program, where a referral would provide them with free riding minutes.

- Encourage customers to fill out feedback forms, as feedback is very important in the beginning stages.

- A user rewards system in which the app shows users the positive environmental impact of riding with UrbanCycles. When a certain emissions savings target is met, the user could be rewarded with points, which can be exchanged for riding minutes.

- Partner with tour companies through sponsorship so that UrbanCycle is included in tour packages, encouraging tourists to use the products.

- The firm could have packages for specific groups at a discounted rate.

- Safety and sustainability awareness workshops and campaigns.

Marketing Costs

Marketing Cost per year	Dollar ($)
Influencer Marketing	22,000.00
Google search optimisation cost	6,000.00
Promotional cost (ads, poster and workshop)	15,000.00
Total	43,000.00

This marketing strategy would help attract environmentally concerned customers, new customers to join, more environmental awareness in general, and create a positive and more well-known brand in the market, which will help the firm generate enough revenue.

Implementation Plan

Activity / Task	Timeline - PHASE 1
	Week 1 to 4 Planning - 1 month
Set out the firm's goals and Objectives	Expand operations into Toronto and focus on eco-conscious customer base
Conduct market research	Get to know your target market using surveys or the use of studies such as the Toronto Cycling study (students, corporate workers, tourists, residents)
	Identify the dominant players in the market, key competitor information, such as how much they charge, number of vehicles they offer, market share they have, their Unique selling points
	Identify if there are any specific government regulations - any permits that the firm should apply for or any payments that need to be done
	identify the size of the market, any key considerations to take into account
take regulations into account	Start applying for permits and start fulfilling any legal requirements that need to be considered to set up the docks
Marketing strategy	Product, Price, place, promotion => refer to marketing plan
Start-up cost planning	Look at options such as Buying or leasing the vehicles
	Administration cost - office set up
	Setting up Docks around the city
	Office Set up costs and maintenance costs
	Decide whether to hire maintenance staff or outsource (snow clearing staff or mechanics)

Shift from Phase 1 to phase 2 Planning to Pilot Testing

Activity/Task	Timeline - PHASE 2
	Week 5 to 9 Pilot testing (2nd Month)
Setup	Set up a few docks and vehicles in strategic locations to analyze how well the product does in each area (e.g. near Union station, Near York university, in downtown Brampton) 30 units
	Gauge the differences in demand at different times of the day or on different days of the week
Monitor device performance	Look at the battery life performance
Feedback	Have feedback forms on the app and encourage them using rewards such as giving free rider minutes
	Have interviews or send them emails asking what they liked and what they did not like

Shift from Phase 2 to phase 3 Pilot Testing to Implementation of changes

Activity/Task	Timeline- PHASE 3
	Week 10 to 12 (2.5th Month)
Implement changes	Based on customer feedback and observations
	Make changes as needed to prices, the location and app features

Shift from Phase 3 to phase 4
Implementation of changes to Scale up

Activity/Task	Timeline- PHASE 4
	Week 13 to 16 (3.5th Month)
Scale up	Increase the number of fleets and docs by a few units by about 80 units
	Start the use of More intense marketing - Ask influencers to start posting videos send out posters

Shift from Phase 4 to phase 5
Scale up to full launch

Activity/Task	Timeline -PHASE 5
	Week 18 to 20 (4th Month)
Full launch	Launch more units into more locations (launch rest of the 90 Units)
Evaluate financial performance	Evaluate the revenues and finances so far and make final changes

BUDGETING

Cost Budget

Budgeted Cost

Column 1	Column 2	# Column 3
Total leasing cost per year		110,230.00
Docking cost per year		70,000.00
Maintaince cost		1,770.00
Marketing cost per year		43,000.00
Partnership cost per year		10,000.00
Contingency Cost		3,000.00
R&D cost per year		5,000.00
Administration cost - office , support & insurance		7,000.00
Total Budgeted Cost		250,000.00
ALLOCATED BUDGET		250,000.00
Difference		0.00

Marketing Budget

marketing cost per year	Dollar $
Influencer marketing	22,000.00
Google serach optimatisation cost	6,000.00
Promotional cost (ads, poster and w	15,000.00
Total	**43,000.00**

Operational Budget

operational cost per year	Dollar $
Total leasing cost	110,230.00
Total docking cost	70,000.00
Partenrship cost	10,000.00
Maintenance cost	1770
Total	**192,000.00**

Contigency Budget

Contingency cost per year	# Dollar $
Theft	300.00
Natural disaster	1,500.00
Lawsuit	1,200.00
Total	**3,000.00**

Partnership Budget

Partnership cost per year	# Dollar $
solar power	10,000.00

REVENUE BUDGET WITH PHASES

Sales Budget

Revenue	starting fee	hourly rate	allocated per	hrs allocated p	st(revenue p	Units	months tin	# total
Initial phase 1								
Electric bike	1.2	0.4	12	360	6	20	1	3,600.00
E-Scooter	1.5	0.25	9	270	3.75	10	1	1,125.00
Scale up 1 (3 months left)								
Electric bike	1.2	0.4	12	360	6	50	3	27,000.00
E-Scooter	1.5	0.25	9	270	3.75	30.00	3.00	10,125.00
Full scale launch (2 months left)								
Scale up 1	1.2	0.4	12	360	6	50	2	18,000.00
E-Scooter	1.5	0.25	9	270	3.75	40	2	9,000.00
Winter	1.2	0.4	12	360	6	120	6	129,600.00
	1.5	0.25	9	270	3.75	80	6	54,000.00
Total Revenue								**252,450.00**

BUDGETED FINANCIAL STATEMENTS

Budgeted Income stateme...

UrbanCycles	$
Total revenue	252,450.00
COGS - operational cost	192,000.00
Gross margin	**60,450.00**
Adminstration expense	
marketing cost	43,000.00
contigences fund	3,000.00
R & D	5,000.00
office support	7,000.00
total admin	**58,000.00**
Operating Income	**2,450.00**

Budgeted Balance Sheet

Assets	$	Liabilities	$
cash	500000	Long Term Debt	400000
Equipment (docking and office)	100000	Lease payment	110230
Inventory	0	Owner's Equity	200000
Right to use leased items	112300		
Total Asset	612300	Total Liabilities	612300

- UrbanCycle's has a positive budgeted operating income (favourable)
- The firm's balance sheet shows all its Assets and Liabilities.

Performance Metrics

1. Evaluating User Acquisition

a. App Downloads

- Evaluate the number of times our app gets downloaded, and we could look into the signup rate.
- Usage rate - Apart from user downloads, we should analyze if customers are actually using the app or not.
- Evaluate the areas that get a higher number of rides, look into those that get a lower number of rides, and consider future changes.

c. Social media engagement - look into the number of visits to our website and social media pages.
Analyze the performance of promotional content.

d. Customer satisfaction - evaluate by having a five-point scale rating scale with different aspects of the ride so that we can gauge what features the customer liked the most and make changes.

e. More technical metrics

- Customer Lifetime Value - It is the amount of revenue a customer would help generate through their customer life span.

(Customer value* average customer Lifespan)

2. Revenue growth rate

- **Revenue Growth Rate -** It measures the percentage increase or decrease in a company's revenue from one period to another.

Having a positive revenue growth rate is favourable for any business, especially since UrbanCycles is looking to start in a new market, so the firm could expect to see a rise in its revenue over time as it grows and adapts to Toronto.

- **Operating Profit Margin -** It measures the company's net income relative to its revenue.

Based on UrbanCycle's budget, its operating profit margin is 0.98%; this indicates that approximately 0.98% of revenue would turn into profits. This is well below the ideal. However, this is normal because it is a new startup, and it is typical to have such low profitability in such industries.

- **Monthly Recurring Revenue(MRR)-** measures the expected income a business will receive monthly based on its recurring revenue.

This could be evaluated through returning customers who use the products daily.

3. Market share

- **Market Size -** The total number of potential product or service sold in a given market and the total revenue these sales may generate.

We could evaluate this by examining sales volume, which is the number of times a bike or scooter is used on a particular day.

- **Market Share -** measures revenue as a percentage of the total market size for a given period.

Hypothetical target as a new firm : 3-5%given that there are many large competitors and Urbancycles is new.

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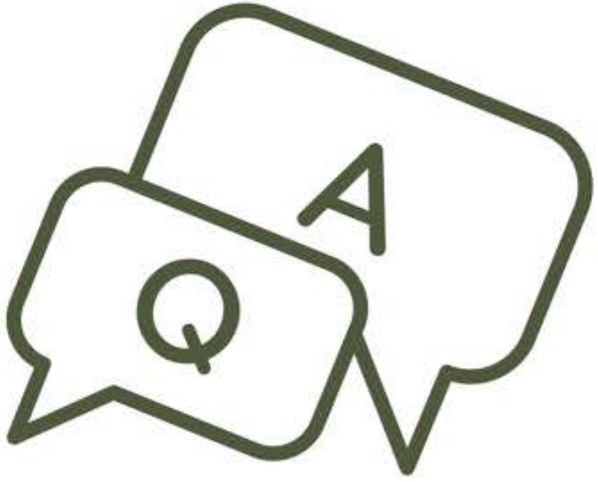

Any Questions ?

THANK YOU!